Oil Bites Back

Dow –1.61%. WTI tops $81. Iran hits tanker. AVGO +5% defies the tape. Jobs report today.

MARKETS

OIL RECLAIMED THE NARRATIVE. DOW –1.61%, S&P –0.56%, NASDAQ –0.26%. The rally died Thursday as Iran hit an oil tanker with a missile, sending WTI above $81/barrel—its highest since July 2024. Brent settled at $85.41. The Dow plunged as much as 1,100 points intraday before closing down 785. Russell 2K –1.91%. UVXY surged 9.98%. Eight of 11 sectors red, with industrials (–2.22%), materials (–2.10%), staples (–2.01%), and healthcare (–2.00%) leading the carnage.

The oil spike undid two days of progress. Hundreds of ships remain stuck in the Persian Gulf despite US escort promises, and Iran reportedly has enough drones to create havoc in the Gulf for months. The 15% global tariff is now taking effect, adding a second headwind. Fed rate cut odds for March: less than 3%. Next expected cut pushed to September.

Broadcom (AVGO) defied the tape, +4.75%. EPS $2.05 vs $1.88 estimate, revenue $19.3B (+29% YoY). AI revenue $8.4B, +106% YoY. Q2 guidance $22B vs $20.56B consensus. Hock Tan: $100B+ AI chip revenue by 2027. Marvell also guided fiscal 2027 revenue toward $11B on data center demand. The AI infrastructure thesis is unshakable even in a war-driven selloff.

Berkshire Hathaway resumed share buybacks for the first time since 2024. New CEO Greg Abel personally bought $15M worth. Buffett's successor signaling conviction in the business at these levels.

IOWN Tactical: S&P at 6,831. Jobs report at 8:30 AM today—consensus 60K adds, unemployment 4.3%. A weak number could paradoxically help if it revives rate-cut hopes. A hot number is the worst outcome right now. Futures this morning: S&P –0.29%, Dow –0.21%, Nasdaq –0.39%.

IOWN HOLDINGS: THE SESSION

THE REVERSAL. Wednesday's winners became Thursday's losers. Bottom 5: MARA –5.60% ($8.77), KEYS –5.45% ($284.51), HUT –5.26% ($51.36), MATX –5.16% ($158.75), AEM –4.83% ($221.49). The crypto infrastructure sleeve gave back a chunk of its two-day surge. Gold miners sold off hard as gold dropped 1.20%.

The broad damage: ADI –3.45%, CAT –3.54%, LRCX –3.73%, EIX –3.61%, SUPV –3.40%, FINV –3.33%, SYK –2.98%, CL –2.74%, NXPI –2.68%, TOL –2.55%, CHD –2.55%. This was an oil-driven industrial/materials/consumer rout. 17 of our 51 holdings declined more than 2%.

Winners in the carnage: ADP +2.55% ($222.70)—payroll processor is recession-proof and benefits from sticky employment. ATAT +2.08% ($37.26) and CVX +2.08% ($189.90)—energy names finally caught a bid. FTNT +1.97% ($84.42)—cybersecurity demand accelerating with the war. VLO +1.08% ($228.03). FAST +1.87% ($47.30).

Benchmarks: DVY –0.90%, IWS –1.44%, IUSG –0.19%. Value got hit harder than growth—a reversal of the week's pattern. Dividend-heavy portfolios felt the oil shock through industrials and consumer staples exposure.

DIGITAL ASSETS

BTC $69,911 (–3.74% 24h). ETH $2,043 (–3.83% 24h). The two-day rally reversed as risk-off returned. IBIT –2.53% ($40.39), ETHA –2.77% ($15.80). BTC dominance slipped to 56.9%, total crypto market cap $2.46T.

Fear & Greed dropped from 22 back to 18—still Extreme Fear. The bounce we saw mid-week was a head-fake driven by the ISM Goldilocks print. Once oil reasserted itself Thursday, risk assets sold in unison. BTC is back below the psychologically important $70K level.

The setup hasn't changed structurally: GENIUS Act momentum, ETF outflow streak potentially breaking, and single-digit Fear & Greed readings earlier this week. But the short-term trade is now hostage to oil. If the jobs report is weak enough to revive rate-cut hopes, crypto could catch a bid.

GEOPOLITICS

DAY 7. IRAN HIT AN OIL TANKER WITH A MISSILE. That single event sent WTI from $74 to $81 in one session. Defense Secretary Hegseth said the US is winning decisively, but the Strait of Hormuz remains contested. Hundreds of ships stuck. Iran reportedly has enough drones to sustain Gulf disruption for months. The escort plan is not working yet.

Trump formally nominated Kevin Warsh as Fed Chair—a hawkish pick, though higher oil may not stop him from cutting rates if growth slows. China set a 2026 GDP target of 4.5–5%, the lowest since the 1990s. South Korea's Kospi rebounded (best day since 2008) after Wednesday's 12% crash.

The jobs report today is the macro event. Consensus: 60K adds, 4.3% unemployment. A Kaiser Permanente strike and winter weather may subtract ~30K, making the print noisy. The market needs a Goldilocks number—weak enough to keep rate cuts alive, strong enough to avoid recession fears.

ON CARSON'S RADAR

1. Oil is the market's master now. WTI $81, Brent $85. Until the Strait clears, nothing else matters for cyclicals and industrials. Our energy names (CVX, VLO, OKE, CNX) are the hedge. CAT –3.54% shows the other side—higher input costs crush manufacturers.

2. Broadcom's strength in a down tape is the signal. AVGO +4.75% on a day the Dow lost 785 points. AI capex is not discretionary spending—it's infrastructure. LRCX –3.73% is a buying opportunity if you believe the AVGO thesis.

3. Jobs report at 8:30 AM is binary. Weak = rate cut hopes revive, market rallies. Hot = stagflation fears intensify, market sells. The sweet spot is 50–80K adds with flat unemployment. Anything above 100K with oil at $81 is trouble.

4. Our crypto sleeve gave back gains but the thesis holds. COIN –1.54%, HUT –5.26%, MARA –5.60%. Two-day net: still up massively. Fear & Greed at 18 is still contrarian buy territory. Don't let one red day erase the structural setup.

5. Berkshire buybacks are a macro tell. Greg Abel buying $15M personally, company resuming repurchases. When Buffett's successor deploys capital into his own stock during a war, that's a confidence signal. Avoid Erosion.

6. Tariffs take effect today/this week. 15% global tariff is live. Watch PDD, TSM, ATAT for international trade sensitivity. The Beige Book showed three-quarters of Fed districts already reporting tariff-driven price increases. This is the slow-burn headwind behind the war headline.

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